

Mr. Young: Yes, Bob—zealously supports its authority and interests. You know, Bob, the real patriots out there are people who earn big incomes—\$100,000, \$200,000, and \$1 million or more a year—and spend it all. Congress should mint a new medal for this type of patriotism, Bob. It would be called the Congressional Medal of Taxation and Consumption. And as long as these patriots keep training their kids to be medal winners, we are in good shape. Bob, do you think we should start sending out holiday greeting cards to all those companies that promote luxury cars, yachts, million-dollar homes, and expensive clothes and accessories? These people are really patriots in their own way. They encourage spending. They are keeping us in business. Well, Bob, it's getting late. You have your assignment. I want to know more about the medal winners. But I also want you to study the ways of those who don't spend their money.

What evidence is there that the government knows the formula for becoming financially independent in America? Just read some of the articles its employees have written recently. Many well-trained economists and other scholars who work for our government frequently conduct studies about the rich (or, as they refer to them, the “top wealth holders”). We are particularly interested in the articles published in the Internal Revenue Service's *Statistics of Income*, a quarterly report. It's a research scholar's paradise, providing mountains of statistics on income. But income is not the government's only focus. It also studies top wealth holders. We are envious. We have to do our own surveys of the affluent. That's our main source for understanding the “How to Get Rich” formula.

C. Eugene Steuerle is assistant director of the Office of Tax Analysis in the U.S. Department of the Treasury. He is also a scholar and talented researcher. He asks the same question we do: What is “the relationship between realized income and wealth”? (*SOI Bulletin*, Department of the Treasury, Internal Revenue Service, vol. 2, no. 4, Spring 1985) What does he find? That people accumulate significant wealth by minimizing their realized/taxable income and maximizing their unrealized/nontaxable income.

In the study that Mr. Steuerle conducted, he compared the income tax returns that top wealth holders filed while they were alive with the estate